

Fearnleys Dry Bulk Weekly

Feb 18, 2026

Capesize/Newcastlemax

A Post-CNY rally looks very likely. The laden/ballast ratio is low, the South Atlantic tightness model shown below is in 'market bottom' territory, and VLOC congestion in Brazil has increased.

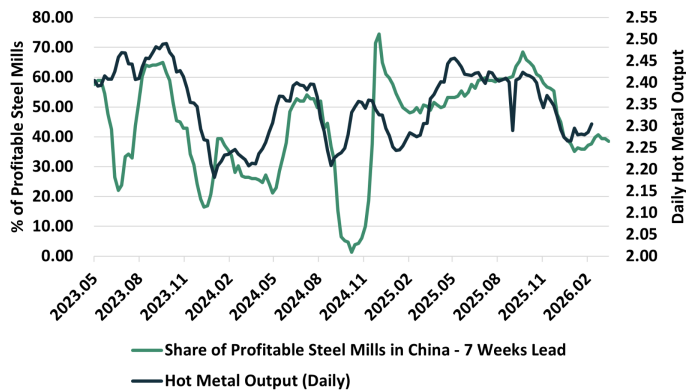
Top left chart: The share of profitable steel mills in China remains slightly below 40%, which suggests hot metal output will remain stable around current levels in the next few weeks.

Top right chart: Iron ore demand in China remains slightly higher year-on-year. Iron ore spot prices and the near-months futures curve spreads are suggesting that fundamentals are not improving. MySteel is reporting that port storage fees will increase, which has prompted some destocking.

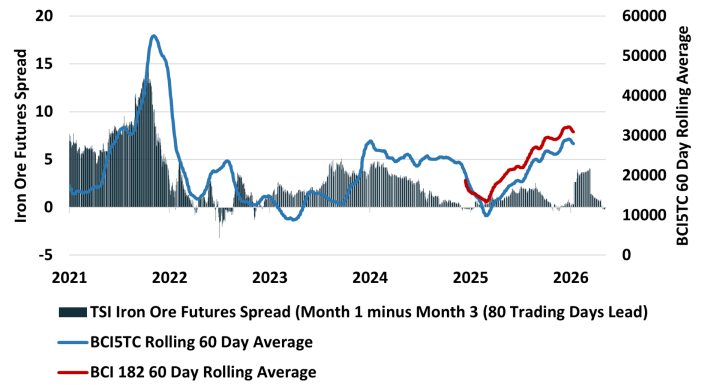
Bottom left chart: The South Atlantic tightness indicator remains in 'market bottom' territory.

Bottom right chart: Second-hand values have kept rising to start this year, as suggested by the strength in the price of copper. Further upside is suggested in the next few months.

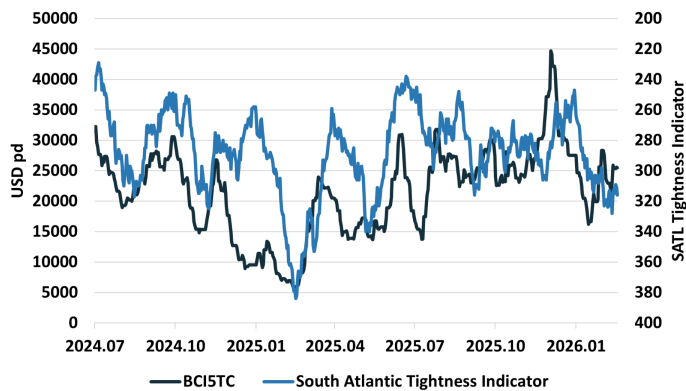
Share of Profitable Steel Mills (7 Weeks Lead) vs Hot Metal Output



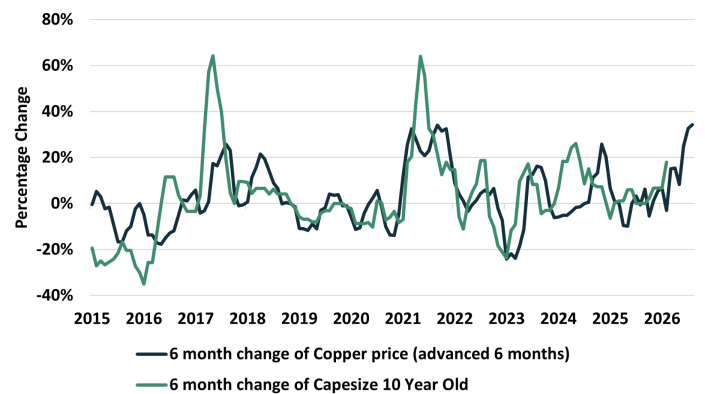
Iron Ore Futures Spread, 1st Month Minus 3rd Month (3 Months Lead) vs BCI5TC 60 Days Rolling Average



C5TC 180 vs South Atlantic Tightness Indicator



Copper Price Lead vs Capesize 10-Year Old



Panamax/Kamsarmax

A post-CNY market rally looks very likely. The average February-March seasonal P5TC development since 2018 suggest the index will be in the low or mid twenties by end March.

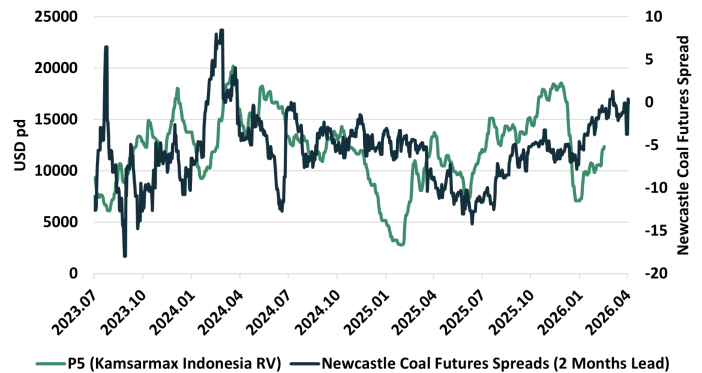
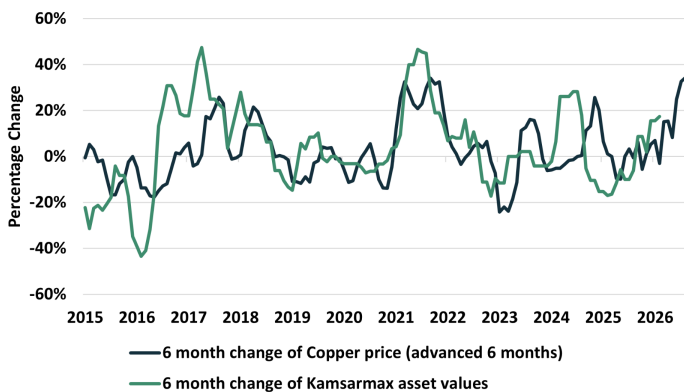
Top left chart: Second-hand values has kept rising to start this year, as suggested by the strength in the price of copper. Further upside is suggested in the next months.

Top right chart: The coal futures curve remains stable and is still suggesting the market will rise. The Indonesian coal export ban did not affect market fundamentals.

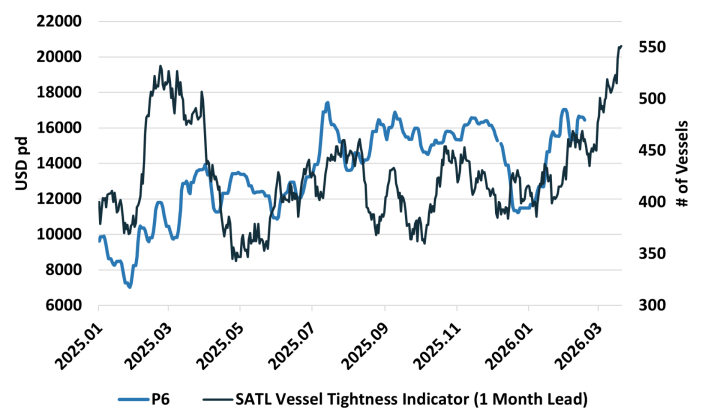
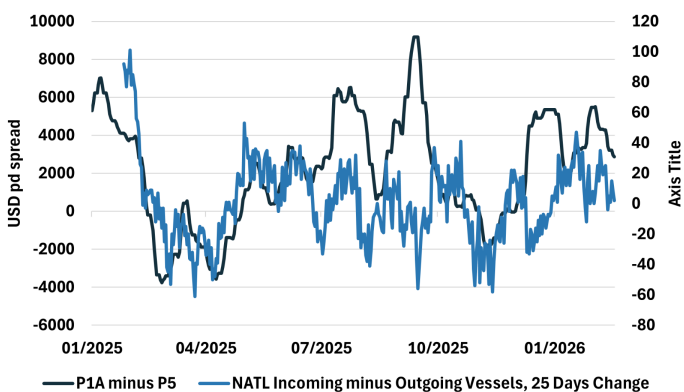
Bottom left chart: The net change of incoming vessels to the North Atlantic has fallen, coincident to a narrowing spread of P1A over P5.

Bottom right chart: The SATL tightness indicator continues to rise. P6 (and all other routes) are likely to follow.

Copper Price Lead vs Kamsarmax 10-Year Old P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



North Atlantic Incoming vs Outgoing Vessels, vs P1A-P5 South Atlantic Vessel Tightness Indicator (Lead 1 Month), vs P6





Supramax/Ultramax

A post-CNY market rally looks very likely. The average February-March seasonal S10TC development since 2015 suggest the S11TC index will be in the low twenties by end March.

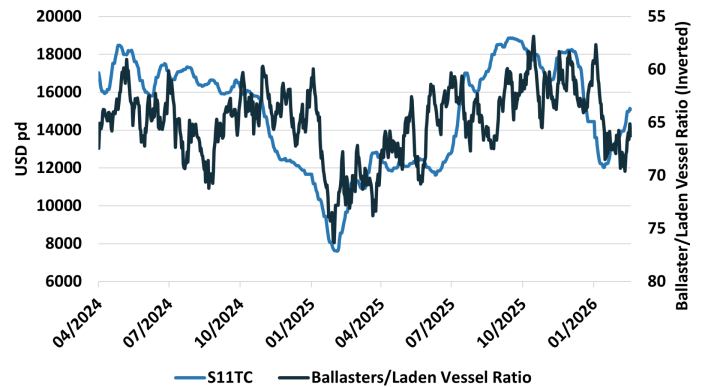
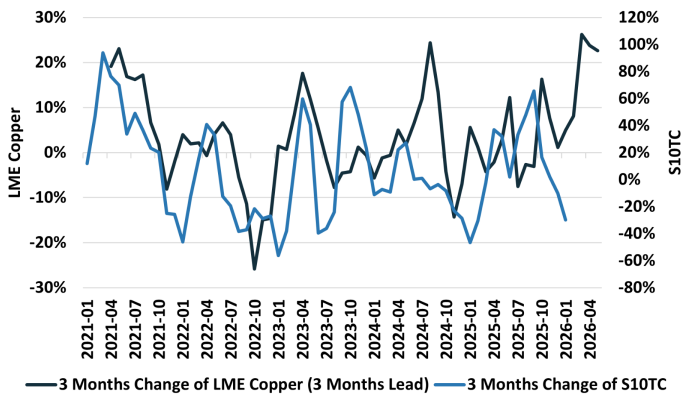
Top left chart: The three-month change in the price of copper looks very bullish for the coming months, and the three-month change of the S10TC index is still low.

Top right chart: The chart compares the ballaster/laden vessel ratio against the S11TC index. A low ballaster/laden vessel ratio reflects a tighter market balance.

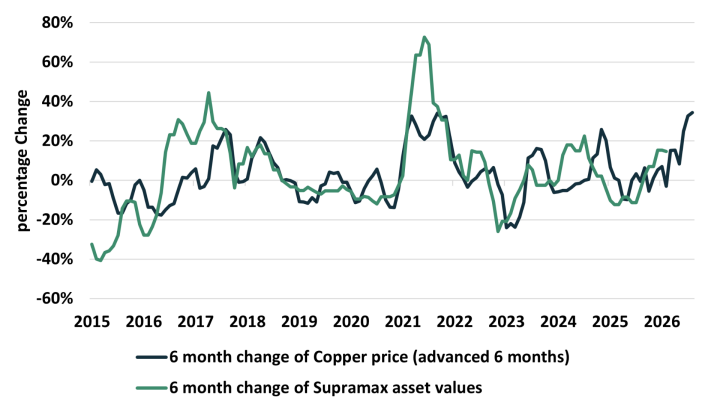
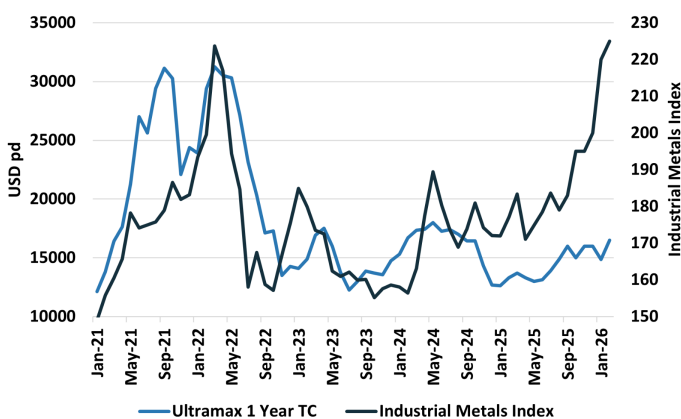
Bottom left chart: An industrial metals index including metals like Aluminium, Zinc and Nickel. This index has now surged passed the heights seen in Q1 2022. Can market levels climb to the same heights as back then, or even higher? We don't think so, but the highest *since* then is not unreasonable to expect.

Bottom left chart: Second-hand values has kept rising to start this year, as suggested by the strength in the price of copper. Further upside is suggested in the next months.

Copper Price 3 Months Change, 3 Months Lead S11TC vs 3 Months Change of Supra 10TC



Industrial Metals Index vs Ultramax 1 Year TC Copper Price Lead vs Supramax 10-Year Old





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